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Secure Distribution Venture Pvt. Ltd.

What Is CC Limit Structuring ?

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A Comprehensive Technical Reference Manual & Training Guide
on Working Capital Cash Credit (CC) Facilities in India

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Module 1: Theoretical Foundations and Product Philosophy of Cash Credit (CC) Limits

A Cash Credit (CC) Limit is a fundamental, fund-based working capital facility offered by Indian banks. It allows businesses to withdraw funds up to a pre-approved limit to meet day-to-day operational expenses. Unlike standard term loans that provide a lump-sum amount with a fixed amortization schedule, a CC limit operates as a revolving line of credit. Interest is computed on the actual daily outstanding debit balance rather than the total sanctioned limit. This provides unparalleled cash flow flexibility and interest cost efficiency to the borrower.

The philosophy of CC limit structuring centers on the concept of the Working Capital Cycle (or Operating Cash Cycle). This cycle represents the time required to convert raw materials into finished goods, sell those goods, and collect receivables from buyers. To support this cycle, businesses require a continuous injection of liquidity to hold inventory and bridge credit terms extended to debtors. A structured CC limit acts as a financial buffer, substituting the seller's unrated or low-rated operational cash deficits with a structured, security-backed bank line.

Traditionally, Indian banks assessed working capital limits using tangible security and physical collateral audits. However, the modern credit ecosystem has shifted toward cash flow velocity and digital transaction trails. Under this philosophy, the credit limit is dynamically linked to the moving current assets of the enterprise, specifically raw material inventories, work-in-progress, finished goods, and book debts (accounts receivable). This relationship is formalized through the calculation of Drawing Power (DP), which ensures that the bank's exposure remains fully secured by highly liquid current assets at all times.

A fundamental rule of CC structuring is the distinction between the Sanctioned Limit and the Drawing Power. The Sanctioned Limit represents the absolute credit ceiling approved by the bank's credit committee based on annualized financial projections and credit appraisals. The Drawing Power, however, is a dynamic monthly sub-limit calculated from the borrower's stock and receivable statement after deducting standard margins. A borrower can only draw funds up to the lower of the Sanctioned Limit or the available Drawing Power. This mechanism protects the bank from asset-liability mismatches and prevents the diversion of working capital funds for capex or non-business purposes.

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Module 2: Structural Taxonomy and Comparative Analysis (The Working Capital Matrix)

To appreciate how Cash Credit (CC) limits operate, they must be compared with other working capital and short-term debt structures available in the Indian credit market. The table below outlines the core credit, operational, and regulatory distinctions between these products.

Credit Dimension	Cash Credit (CC) Limit	Working Capital Demand Loan	Overdraft (OD) Facility	Short-Term Term Loan
Underlying Security	Hypothecation of inventory & book debts (moving current assets).	Hypothecation of current assets, often carved out of CC limits.	Fixed collateral (FD, property, shares) or unsecured.	Specific fixed assets or general corporate balance sheet.
Repayment Structure	Revolving facility with daily reducing balance. Renewable annually.	Bullet repayment or fixed installments over 30-180 days.	Revolving facility with daily interest. Renewable annually.	Fixed monthly or quarterly amortization schedules.
Interest Basis	EBLR or MCLR-linked. Charged on daily outstanding balance.	Fixed rate or MCLR spread. Interest charged on drawn amount.	EBLR/MCLR linked. Interest charged on negative balance.	Fixed or floating rate over the entire disbursed principal.
Drawing Power Covenants	Calculated monthly based on stock and debtor statements.	Linked to stock statement but fixed for tranche duration.	Fixed limit. No monthly stock statement required.	No DP calculation required. Fully disbursed on Day 1.
CERSAI / ROC Filings	Mandatory filing of Form CHG-1 for charge on current assets.	Filing of Form CHG-1 or sub-charge under existing CC limit.	Form CHG-1 required if secured by corporate assets.	Mandatory Form CHG-1 for charge on fixed/specific assets.

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Module 3: The End-to-End Operational Lifecycle and Drawing Power (DP) Mechanics

The operational lifecycle of a Cash Credit limit revolves around strict monthly compliance and physical/digital verification loops. Once a CC limit is sanctioned, the borrower must execute hypothecation deeds and register the bank's charge. To withdraw funds, the borrower submits a stock and debtors statement to the branch by a specified date each month (typically the 7th or 10th). This statement lists the quantity and value of raw materials, work-in-progress, finished goods, and outstanding debtors, alongside details of sundry creditors (which must be deducted to calculate net current assets).

The Drawing Power (DP) is calculated using a standard formula that enforces margin covenants. The stock margin is typically 25% (meaning the bank funds 75% of the inventory value), and the debtor margin is typically 30% to 40% (meaning the bank funds 60% to 70% of eligible receivables). Eligible debtors are strictly restricted by an ageing limit—usually up to 90 days. Debtors outstanding beyond 90 days are classified as non-eligible and are excluded from the DP calculation. Furthermore, raw materials purchased on credit (sundry creditors) must be completely deducted from the inventory value because they are not yet funded by the borrower's own cash flow, preventing double financing.

To ensure the integrity of the submitted statements, banks conduct periodic Stock Audits. These audits are executed by independent Chartered Accountant (CA) firms appointed by the bank. Stock auditors physically verify inventory levels at the borrower's warehouses, inspect insurance policies (which must carry a bank clause), and cross-verify book debts against actual invoices, GSTR-1 filings, and debtor confirmation letters. Any discrepancy discovered during the stock audit—such as overvalued stock, obsolete inventory, or un-insured materials—results in an immediate downward revision of the Drawing Power.

The annual renewal of the CC limit is another critical operational milestone. CC limits are typically sanctioned for a tenure of 12 months. At the end of the year, the borrower must submit audited financial statements, tax filings, and fresh operating projections for the next financial year. The credit underwriting team conducts a formal review of the account's utilization patterns, turnover velocity, interest servicing history, and compliance with stock statement submissions. If the review is positive, the limit is renewed for another 12 months, with or without modifications to the pricing or collateral structure.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Underwriting a CC limit requires a robust evaluation of the borrower's financial health, cash flow sustainability, and business operations. In India, banks rely on standardized regulatory frameworks to size and assess working capital requirements. The most prominent framework for larger exposures is the Tandon Committee's Second Method of Lending. Under this method, the borrower is expected to provide a minimum current ratio of 1.33:1, contributing at least 25% of the working capital requirement from long-term funds (such as equity or subordinated debt), with the bank financing the remaining 75%.

For smaller exposures, typically up to ₹5 Crores, banks utilize the Nayak Committee's Projected Turnover Method (PTM). Under this method, the total working capital requirement is estimated at 25% of the projected annual turnover. The borrower must contribute 5% of the turnover as margin from long-term sources, while the bank funds the remaining 20% as a CC limit. This simplified method reduces credit friction for MSMEs and accelerates limit approvals. For seasonal industries, banks utilize the Cash Budget Method, which maps monthly cash inflows and outflows to identify the peak deficit period, structuring the CC limit to match that peak.

Underwriters also analyze critical credit risk metrics to ensure debt service capability. Key ratios include the Interest Coverage Ratio (ICR), which must remain above 1.25x (ideally above 2.0x), and the Debt-to-Equity Ratio, which reflects capital leverage. Personal credit profiles are evaluated via CIBIL scores (with a minimum threshold of 700 for promoters), and business credit history is assessed using CIBIL MSME Ranks (CMR 1 to 4 indicating low risk). Account velocity is analyzed via bank statements and Account Aggregators, measuring debit/credit transaction volumes and verifying that annual sales turnover is routed primarily through the CC account.

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Module 5: Legal Security Architecture, Hypothecation, and CERSAI Covenants

The legal security architecture of a Cash Credit limit is designed to give the bank absolute charge over the borrower's moving assets. The primary security is a Hypothecation of Current Assets, executed via a standard Hypothecation Agreement. This agreement creates an equitable charge in favor of the bank over all current inventory (raw materials, WIP, finished goods) and outstanding book debts. Under Section 130 of the Transfer of Property Act, 1882, the bank can absolute assign and recover actionable claims (receivables) directly from the debtors in the event of default.

To protect the bank's interest against third-party claims, the charge on current assets must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within the strict 30-day statutory window under the SARFAESI Act, 2002. For corporate borrowers, the charge must also be registered with the Registrar of Companies (ROC) by filing Form CHG-1 on the MCA portal. Failure to register these charges within the timeline nullifies the bank's status as a secured creditor in insolvency proceedings, exposing the bank to substantial loss.

In addition to primary security, banks require collateral security and personal guarantees. Collateral security typically involves a mortgage on commercial or residential real estate, or a pledge of financial assets (such as Fixed Deposits or Mutual Funds) to secure the bank's exposure against stock obsolescence or fraudulent reporting. Promoters must also provide Personal Guarantees, creating joint and several liability under Section 126 and 128 of the Indian Contract Act, 1872. This ensures that the bank has legal recourse to the personal assets of the promoters in the event of default.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Cash Credit limits are best suited for industries with continuous, high-velocity operating cycles where cash conversion timelines are predictable. Manufacturing enterprises (e.g., auto components, steel fabricators, textiles) utilize CC limits to fund the purchase of raw materials and bridge the gap while finished goods are processed and delivered to buyers. Similarly, EPC contractors and construction companies use CC limits to manage progress invoice gaps on public infrastructure projects.

According to commercial credit data published in the SIDBI MSME Pulse, Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. To cater to this massive segment, public and private sector banks have digitized working capital lending. For example, the State Bank of India (SBI) operates massive digital supply chain programs, including the Electronic Dealer Financing Scheme (e-DFS with a portfolio of ₹49,261 Crores) and the Electronic Vendor Financing Scheme (e-VFS with a portfolio of ₹28,092 Crores). These programs dynamically link credit limits to real-time purchase orders and e-invoices, eliminating physical paper audits.

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Module 7: Commercial Pricing Mechanics, Benchmark Rates, and Tax Shields

The pricing of a CC limit is structured to ensure competitive interest rates and transparency. For MSME borrowers, banks benchmark the interest rate to External Benchmark Linked Rates (EBLR), which are directly tied to the RBI Repo Rate plus a standardized bank spread based on the borrower's credit rating. For larger corporate borrowers, interest is priced using the bank's Marginal Cost of Funds based Lending Rate (MCLR), reflecting internal fund transfer costs. This interest is computed on a daily reducing balance basis, meaning the borrower only pays for the actual funds utilized each day.

In addition to interest, CC limits incur processing fees (typically 0.25% to 0.50% of the sanctioned limit), stock audit fees, renewal charges, and commitment fees if limit utilization falls below a specified threshold. Under Indian tax laws, bank processing fees and renewal charges attract 18% Goods and Services Tax (GST). This GST is fully recoverable by the borrower as Input Tax Credit (ITC) if they are registered under GST. Interest charges, however, are completely exempt from GST.

Furthermore, interest paid on a CC limit is classified as a business expense and is fully tax-deductible under Section 36(1)(iii) of the Income Tax Act, 1961. This creates a significant Interest Tax Shield. For a corporate borrower paying interest at a nominal rate of 10.00% under a corporate tax bracket of 25.17%, the net effective after-tax cost of borrowing is reduced to 7.48% [10.00% x (1 - 0.2517)]. This tax shield makes a CC limit one of the most cost-effective capital allocation instruments for operating businesses.

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Module 8: Regulatory Compliance, RBI IRACP Guidelines, and Technical Defaults

Managing a CC limit requires strict adherence to regulatory guidelines issued by the Reserve Bank of India (RBI). Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines, CC accounts are subject to tight operational compliance. An account is classified as 'Out of Order' if: (a) the outstanding balance remains continuously in excess of the sanctioned limit/drawing power for 90 days, or (b) if the outstanding balance is within the limit, but there are no credits in the account for 90 days, or the credits are insufficient to cover the interest debited during the same period.

If an account remains 'Out of Order' for 90 days, it is classified as a Non-Performing Asset (NPA). This triggers mandatory provisioning requirements for the bank and halts further disbursements. Additionally, a Technical Default occurs if stock statements are not submitted for more than 3 consecutive months, or if the annual renewal/review is delayed beyond 180 days from the due date. To enforce discipline, banks implement a Special Mention Account (SMA) classification system, categorizing stressed accounts into SMA-0 (outstanding up to 30 days overdue), SMA-1 (31 to 60 days overdue), and SMA-2 (61 to 90 days overdue).

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Module 9: Comprehensive Real-World Case Study: Mumbai Steel Fabrication Pvt. Ltd.

To illustrate the mathematical mechanics of CC limit structuring, let us analyze a detailed scenario for Mumbai Steel Fabrication Pvt. Ltd. (MSFPL), a medium enterprise with an annual turnover of ₹40 Crores. MSFPL holds a sanctioned Cash Credit limit of ₹5,00,00,000 (₹5 Crores) from the State Bank of India, benchmarks to EBLR at 9.50% p.a., with a corporate income tax rate of 25.17%.

For the month of October 2026, MSFPL submits its stock and debtors statement with the following asset valuations:

• Raw Materials Inventory: ₹2,40,00,000
• Work-in-Progress (WIP): ₹60,00,000
• Finished Goods Inventory: ₹1,20,00,000
• Outstanding Debtors (Ageing < 90 days): ₹1,80,00,000
• Outstanding Debtors (Ageing > 90 days): ₹40,00,000 (Non-eligible)
• Sundry Creditors (Raw Material Credit): ₹1,00,00,000

The bank enforces standard margins: 25% on inventory (Raw Materials, WIP, Finished Goods) and 30% on eligible debtors. Let us calculate the Net Current Assets and the dynamic Drawing Power (DP):

Asset Class	Gross Value (₹)	Bank Margin (%)	Eligible Value / Funding (₹)
Total Inventory (RM + WIP + FG)	4,20,00,000	25%	3,15,00,000 (75%)
Eligible Debtors (< 90 Days)	1,80,00,000	30%	1,26,00,000 (70%)
Non-Eligible Debtors (> 90 Days)	40,00,000	100% (Excluded)	0
Sundry Creditors (Deduction)	1,00,00,000	100% (Deducted)	-1,00,00,000
Net Funded Value	5,40,00,000	-	3,41,00,000
Calculated Drawing Power	**-**	**-**	**3,41,00,000**

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Analysis of October 2026 DP Results:
1. Total inventory value is ₹4.2 Crores. With a 25% margin, the eligible stock funding is ₹3.15 Crores.
2. Total outstanding debtors is ₹2.2 Crores. Excluding ₹40 Lakhs of aged debtors (>90 days), the eligible debtors are ₹1.8 Crores. With a 30% margin, the funding is ₹1.26 Crores.
3. Sundry creditors of ₹1.0 Crore are completely deducted from the eligible asset base to prevent double financing.
4. The net calculated Drawing Power is ₹3.41 Crores. Since this is lower than the sanctioned limit of ₹5.0 Crores, MSFPL's maximum drawing capacity for November 2026 is restricted to ₹3,41,00,000.

Financial Cost & Tax Shield Modeling (Over 30-day billing cycle assuming average outstanding of ₹3.0 Crores):
• Nominal Interest Rate: 9.50% p.a.
• Gross Monthly Interest Outlay: (₹3,00,00,000 x 9.50% x 30) / 365 = ₹2,34,246.58 (fully GST-exempt)
• Upfront Processing Fee (0.25% on Sanctioned Limit): ₹5,00,00,000 x 0.25% = ₹1,25,000
• GST on Processing Fee (18%): ₹1,25,000 x 18% = ₹22,500 (fully recoverable via Input Tax Credit)
• Interest Tax Shield (25.17% corporate tax rate): ₹2,34,246.58 x 25.17% = ₹58,959.86
• Net Post-Tax Cost of Financing for October: ₹2,34,246.58 - ₹58,959.86 = ₹1,75,286.72
• Effective Post-Tax Annualized Rate: 7.11% p.a.

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Module 10: 10-Question Professional Certification Examination & Rationales

Question 1:
A corporate borrower has a sanctioned Cash Credit limit of ₹5 Crores. For the current month, their raw material stock is valued at ₹3 Crores, work-in-progress at ₹1 Crore, finished goods at ₹2 Crores, and sundry creditors stand at ₹1.5 Crores. If the bank enforces a 25% margin on inventory, what is the eligible stock funding value?
A) ₹4.50 Crores
B) ₹3.375 Crores
C) ₹3.00 Crores
D) ₹2.625 Crores

Answer & Rationale:
Answer: B
Rationale: First, sum the total inventory: RM (₹3 Cr) + WIP (₹1 Cr) + FG (₹2 Cr) = ₹6 Crores. Deduct sundry creditors to prevent double financing: ₹6 Cr - ₹1.5 Cr = ₹4.5 Crores. Apply the 25% bank margin (funding 75%): ₹4.50 Crores x 75% = ₹3.375 Crores.

Question 2:
Under the RBI's IRACP guidelines, when does a Cash Credit (CC) account get classified as 'Out of Order'?
A) If stock statements are submitted 15 days late.
B) If the outstanding balance remains continuously in excess of the sanctioned limit or drawing power for 90 days.
C) If the promoter's personal CIBIL score drops below 650.
D) If the annual renewal is delayed by 30 days.

Answer & Rationale:
Answer: B
Rationale: Under RBI Master Directions, a CC account is classified as 'Out of Order' if the outstanding balance remains continuously in excess of the limit or Drawing Power for a period of 90 days, triggering NPA status.

Question 3:
A borrower submits debtor statements showing a total outstanding of ₹2 Crores. Out of this, ₹50 Lakhs represents debtors outstanding for 120 days, and the rest is outstanding for 45 days. If the bank's debtor margin is 30% and the age limit is 90 days, what is the debtor-based drawing power?
A) ₹1.40 Crores
B) ₹1.05 Crores
C) ₹1.00 Crore
D) ₹0.70 Crore

Answer & Rationale:
Answer: B
Rationale: First, exclude aged debtors outstanding beyond 90 days: ₹50 Lakhs is excluded, leaving ₹1.50 Crores in eligible debtors (<90 days). Apply the 30% margin (funding 70%): ₹1.50 Crores x 70% = ₹1.05 Crores.

Question 4:
Which committee introduced the Projected Turnover Method (PTM) for sizing working capital

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requirements up to ₹5 Crores?
A) Tandon Committee
B) Nayak Committee
C) Chore Committee
D) Narasimham Committee

Answer & Rationale:

Answer: B
Rationale: The Nayak Committee introduced the Projected Turnover Method, simplifying credit delivery by sizing working capital at 25% of turnover (20% bank funded, 5% promoter funded).

Question 5:

What is the statutory registration requirement under the SARFAESI Act, 2002 for hypothecated assets?
A) Registering with the ROC within 90 days.
B) Registering with CERSAI within the 30-day statutory window.
C) Filing a mortgage deed with the local Sub-Registrar within 60 days.
D) Submitting stock audit certificate within 15 days.

Answer & Rationale:

Answer: B
Rationale: To secure status as a secured creditor, banks must register the hypothecation charge on current assets with CERSAI within 30 days of creation under the SARFAESI Act.

Question 6:

How is the Interest Tax Shield computed for business interest expenses under Section 36(1)(iii) of the Income Tax Act, 1961?
A) Interest Paid x (1 - Marginal Tax Rate)
B) Interest Paid x Marginal Tax Rate
C) Interest Paid + GST Paid
D) Interest Paid / Corporate Tax Rate

Answer & Rationale:

Answer: B
Rationale: The interest expense is tax-deductible. The direct tax shield savings is equal to the Interest Paid multiplied by the Marginal Tax Rate of the company, reducing the effective after-tax cost of borrowing.

Question 7:

Under RBI rules, a Cash Credit account will be flagged as a 'Technical Default' if stock statements are not submitted for a period exceeding:
A) 30 days
B) 45 days
C) 3 consecutive months
D) 120 days

Answer & Rationale:

Answer: C
Rationale: Under RBI guidelines, stock statements must be submitted regularly. Outstanding drawings are treated as irregular and a technical default occurs if statements are older than 3 months (90 days).

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Question 8:
Under the Tandon Committee's Second Method of Lending, what is the minimum Current Ratio expected from a corporate borrower?
A) 1.00:1
B) 1.25:1
C) 1.33:1
D) 1.50:1

Answer & Rationale:
Answer: C
Rationale: The Second Method of Lending requires the borrower to fund at least 25% of total current assets from long-term sources, resulting in a minimum required current ratio of 1.33:1.

Question 9:
Which digital supply chain program operated by SBI is designed for distributor inventory financing against purchase orders?
A) e-VFS (Electronic Vendor Financing Scheme)
B) e-DFS (Electronic Dealer Financing Scheme)
C) TReDS Invoice Discounting
D) PCFC Dollar Funding

Answer & Rationale:
Answer: B
Rationale: The SBI Electronic Dealer Financing Scheme (e-DFS) is a massive digital program specifically designed to fund dealer/distributor purchases against confirmed corporate orders, holding a portfolio of ₹49,261 Crores.

Question 10:
If a corporate borrower has a sanctioned CC limit of ₹5.0 Crores and a calculated Drawing Power of ₹4.2 Crores, what is the maximum amount the borrower can withdraw from the account?
A) ₹5.0 Crores
B) ₹4.2 Crores
C) ₹4.6 Crores
D) ₹0.8 Crore

Answer & Rationale:
Answer: B
Rationale: A borrower's drawing capacity is strictly limited to the lower of the sanctioned limit or the dynamically calculated Drawing Power. Since ₹4.2 Crores is lower than ₹5.0 Crores, the maximum drawing capacity is restricted to ₹4.2 Crores.

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